Business insights and retention recommendations.

Accross 7043 customers, the churn rate is **26.54%**, based on 4 magor features that affects churn drivers, which are contract type, internet service type, support/security subscriptions, and payment method.

Churn Drivers

Contract Type (The Strongest Lever)

Contract	Churn Rate
Month-to-month	42.71%
One year	11.27%
Two year	2.83%

Month-to-month customers churn at roughly **15**× the rate of two-year customers. This is the single largest signal in the dataset. This 15× gap suggests contract length is the single highest-leverage retention lever available — a targeted campaign converting even 20% of month-to-month customers to annual contracts could cut overall churn meaningfully more than any other intervention tested here.

Internet Service Type

Service	Churn Rate
Fiber optic	41.89%
DSL	18.96%
No internet	7.40%

Fiber customers churn more than DSL customers despite paying for a premium product, meaning that this typically signals a price or service-quality issue. Telco should ask their churn customers for reason of churn whether it's price issue or a service-quality one, and discuss new price if the majority have chosen price issue or increase the quality of sevice to fit its price if this option available.

Support and Security Addons

	Churn Rate (No)	Churn Rate (Yes)
Tech Support	41.64%	15.17%
Online Security	41.77%	14.61%

Customers without these addons churn at roughly **2.8**× the rate of those with them. These addons should provided to all customers to prevent this harsh loss.

Payment Method

Method	Churn Rate
Electronic check	45.29%
Mailed check	19.11%
Bank transfer (automatic)	16.71%
Credit card (automatic)	15.24%

Electronic check is the single riskiest cause, which is nearly **3**× the churn rate of automatic payment methods. the churn should be lowerened by marketing for automatic payment methods or fixing the problems of onlune payment. The telco should get feedback of customers of problems of online payment and solve it quickly.